

Terms and Conditions for Credit Transfers

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Further details of the Bank are contained in the "List of Prices and Services" ("Preis- und Leistungsverzeichnis").
The execution of Customers' credit transfer orders shall be subject to the following terms and conditions:

1. General

1.1 Main Characteristics of a Credit Transfer, Including a Standing Order

The Customer may instruct the Bank to remit funds cashlessly in favour of a payee by credit transfer to the payee's payment service provider. The Customer may also instruct the Bank to regularly remit a fixed sum of money to the same account of the payee on a certain recurring date (standing order).

1.2 Unique Identifier

When making credit transfers, the Customer must use the following unique identifier of the payee:

Destination area	Currency	Unique identifier of payee
Germany	euro	IBAN[1]
Cross-border within the European Economic Area[3]	euro	IBAN

The information required for execution of the credit transfer shall be determined by Section 2.1.

1.3 Issuance of Credit Transfer Orders and Authorisation

(1) The Customer shall issue a credit transfer order to the Bank, providing the information required under Section 2.1, on a form approved by the Bank or in the manner otherwise agreed with the Bank (e.g. via eBanking).

The Customer must ensure the legibility, completeness and correctness of this information. Illegible, incomplete or incorrect information may lead to delays or misrouting of credit transfers, possibly resulting in loss or damage for the Customer. Where illegible, incomplete or incorrect information is given, the Bank may refuse to execute the credit transfer (see also Section 1.7). If the Customer believes that a credit transfer requires particularly prompt execution, the Customer shall notify the Bank thereof separately. Where credit transfer orders are issued on a form, this must be done separately from the form if this purpose cannot be indicated on the form itself.

(2) The Customer shall authorise the credit transfer order by signing it or in the manner otherwise agreed with the Bank (using an eBanking PIN/TAN, for example). The authorisation of the credit transfer also contains the Customer's express consent to the retrieval (from Bank's database), processing, transmission and storing of the Customer's personal data which are necessary for the execution of the credit transfer.

(3) Before executing an individual credit transfer order, the Bank shall indicate, at the Customer's request, the maximum execution time and the charges payable by the payer and, where applicable, a breakdown of the amounts of any charges.

(4) The Customer has the right to make use of a payment initiation service provider in accordance with § 1 section 33 Zahlungsdiensteaufsichtsgesetz in order to issue a credit transfer order to the Bank.

1.4 Receipt of Credit Transfer Orders by the Bank

(1) A credit transfer order shall become valid as soon as it is received by the Bank. This also applies when the credit transfer order is issued via a payment initiation service provider. Receipt shall take place upon delivery of the order into the Bank's designated receiving facilities (e.g. when it is entered into Bank's eBanking server).

(2) If the point in time of receipt of a credit transfer order pursuant to Paragraph 1 Sentence 3 is not on a banking business day as indicated in the "List of Prices and Services", the credit transfer order shall be deemed to have been received on the following banking business day.

(3) If a credit transfer order is received after the acceptance time indicated at the Bank's receiving facility or in the "List of Prices and Services", it shall be deemed, for the purpose of determining when the execution period commences (see Section 2.2.2), to have been received on the following business day.

1.5 Revocation of Credit Transfer Orders

(1) Until the credit transfer order has been received by the Bank (see Section 1.4, Paragraphs 1 and 2), the Customer can revoke it vis-à-vis the Bank. Notwithstanding Paragraphs 2 and 3, revocation of the credit transfer order is no longer possible after reception of the credit transfer order by the Bank. If the Customer uses a payment initiation service provider for issuing the credit transfer order, the Customer can no longer revoke the credit transfer order vis-à-vis the Bank after having given consent to the initiation of the credit transfer vis-à-vis the payment initiation service provider.

(2) If the Bank and the Customer have agreed a certain date for the execution of a credit transfer (see Section 2.2.2, Paragraph 2), the Customer may revoke the credit transfer order or standing order (see Section 1.1) up to the end of the banking business day before the agreed date. The banking business days shall be set out in the "List of Prices and Services". If the revocation of a standing order is received by the Bank in due time, no further credit transfers shall be executed under this standing order.

(3) A credit transfer order may only be revoked after the points in time referred to in Paragraphs 1 and 2 if the Customer and the Bank have agreed thereupon. This agreement shall become effective if the Bank manages to prevent execution or to recover the amount of the credit transfer. If the Customer uses a payment initiation service provider for issuing the credit transfer order, the consent of the payment initiation service provider and of the payee are additionally required. For handling such a revocation by the Customer, the Bank shall levy the charge set out in the "List of Prices and Services".

1.6 Execution of Credit Transfer Orders

(1) The Bank shall execute a Customer's credit transfer order if the information required for execution (see Section 2.1) is provided in the required manner (see Section 1.3, Paragraph 1), the credit transfer order is authorised by the Customer (see Section 1.3, Paragraph 2) and a sufficient credit balance in the currency of the credit transfer order is available or sufficient credit has been granted (conditions for execution).

(2) The Bank and the other payment service providers involved in the execution of a credit transfer order shall be entitled to execute the credit transfer solely on the basis of the unique identifier of the payee provided by the Customer (see Section 1.2).

(3) The Bank shall inform the Customer at least once a month about the execution of credit transfers through the agreed account information channel. Where Customers are not consumers, the manner in which and frequency with which they are informed may be agreed separately.

1.7 Refusal of Execution

(1) If the conditions for execution (see Section 1.6, Paragraph are not fulfilled, the Bank may refuse to execute the credit transfer order. The Bank shall inform the Customer thereof without delay, but in any case within the period agreed under Section 2.2.1. It may do so also through the agreed account information channel. When doing so, the Bank shall, if possible, state the reasons for the refusal and indicate ways in which errors that led to the refusal can be rectified.

(2) If the Bank is clearly unable to assign a unique identifier provided by the Customer to any payee, payment account or payee's payment service provider, it shall inform the Customer thereof without delay and, if necessary, return the amount of the credit transfer.

(3) For a legitimate refusal of the execution of an authorized credit transfer order, the Bank shall levy the charge set out in the "List of Prices and Services".

1.8 Transmission of Credit Transfer Data

When executing a credit transfer, the Bank shall transmit the details contained in the credit transfer (credit transfer data) to the payee's payment service provider either directly or through intermediary institutions. The payee's payment service provider may make the credit transfer data, which shall also include the payer's IBAN, available to the payee in full or in part.

Where crossborder credit transfers and domestic priority credit transfers are involved, the credit transfer data may also be forwarded to the payee's payment service provider via the Society for Worldwide Interbank Financial Telecommunications (SWIFT), based in Belgium. For system security reasons, SWIFT stores the credit transfer data temporarily at its operating centres in the European Union, Switzerland and the United States.

1.9 Notification of Unauthorised or Incorrectly Executed Credit Transfers

The Customer shall inform the Bank without delay on finding that a credit transfer order was unauthorised or executed incorrectly. This shall also apply in cases where a payment initiation service provider is involved.

1.10 Charges and Changes in Charges

1.10.1 Charges for Consumers as Customers The charges for credit transfers shall be set out in the "List of Prices and Services".

Any changes in the charges in the area of credit transfers shall be offered to the Customer in text form prior to the proposed date of entry into force. If the Customer has agreed an electronic communication channel with the Bank within the framework of the business relationship, the changes may also be offered through this channel. The changes proposed shall only become effective upon the Customer's consent.

Changes in the charges for the payment services framework contract (giro contract) are determined by Section 12 Paragraph 5 of our Terms and Conditions “Basic Rules Governing the Relationship Between the Customer and the Bank”.

1.10.2 Charges Levied in Other Cases

Charges and changes therein for credit transfers made by Customers who are not consumers shall continue to be governed by the provisions of Section 12, Paragraphs 2 – 6 of our Terms and Conditions “Basic Rules Governing the Relationship Between the Customer and the Bank”.

1.11 Reporting Requirements under German Law on Foreign Trade and Payments

The Customer must comply with the reporting requirements under German law on foreign trade and payments.

2 Credit Transfers within Germany and to Other European Economic Area[3] (EEA) Countries in Euros

2.1 Information Required

The Customer must provide the following information in a credit transfer order:

- Name of the payee
- Unique identifier of the payee (see Section 1.2) Currency (Currently, N26 Bank itself only offers credit transfers in euro. For the service “International Transaction” offered by TransferWise Limited (“Wise”), see our Terms and Conditions “N26 - Wise” and the Terms and Conditions of “Wise” which remain exclusively applicable.),
- Amount,
- Name of the Customer,
- Customer’s IBAN.

2.2 Maximum Execution Time

2.2.1 Length of the Execution Time

The Bank shall be obligated to ensure that the amount of a credit transfer is received by the payee’s payment service provider within the execution time indicated in the “List of Prices and Services” at the latest.

2.2.2 Commencement of the Execution Time

(1) The execution period shall commence as soon as a Customer’s credit transfer order is received by the Bank (see Section 1.4).

(2) If the Bank and the Customer agree that the execution of a credit transfer is to commence on a certain date or at the end of a certain period or on the date on which the Customer has provided the Bank with the funds in the currency of the order required for execution, the date indicated in the order or otherwise agreed shall determine when the execution period commences. If the agreed date is not a banking business day, the execution period shall commence on the following banking business day. The banking business days shall be set out in the “List of Prices and Services”.

2.3 Customer's Entitlements to Refund, Correction and Compensation

2.3.1 Refund for Unauthorised Credit Transfers

If a credit transfer is unauthorised (see Section 1.3, Paragraph 2), the Bank shall have no claim against the Customer for reimbursement of its expenses. It shall be obligated to refund the amount of the credit transfer to the Customer without delay and, if the amount has been debited to an account held by the Customer, to restore the balance of this account to what it would have been without debiting for the unauthorised credit transfer. This obligation shall be fulfilled at the latest at the end of the following business day according to our "List of Prices and Services" after the Bank noted or was notified of the unauthorised credit transfer. Where the Bank has reasonable grounds for suspecting fraud and communicates those grounds to the relevant national authority in writing, the Bank has to examine its obligations under Sentence 2 without undue delay and to fulfill them, if the suspicion of fraud is not confirmed. Where the credit transfer was initiated via a payment initiation service provider, the obligations in Sentence 2 and 4 shall be fulfilled by the Bank.

2.3.2 Entitlements in case of Non-Execution, Incorrect Execution or Late Execution of Authorised Credit Transfers

(1) If an authorised credit transfer is not executed or not executed correctly, the Customer may request the Bank to refund the full amount of the credit transfer without delay insofar as the payment was not made or not made correctly. If the amount has been debited to the Customer's account, the Bank shall restore the balance of this account to what it would have been without debiting for the non-executed or incorrectly executed payment transaction. Where the Customer initiates a credit transfer via a payment initiation service provider, the obligations in Sentences 1 and 2 are to be fulfilled by the Bank. If the Bank or any intermediary institutions have deducted charges from the amount of the credit transfer, the Bank shall remit the amount deducted in favour of the payee without delay.

(2) Over and above Paragraph 1, the Customer may request the Bank to refund any charges and interest insofar as these were levied on the Customer or debited to the Customer's account in connection with the non-execution or incorrect execution of the credit transfer.

(3) Where an authorised credit transfer is executed late, the Customer can require the Bank to demand the payee's payment service provider to ensure that the credit value date for the payee's payment account is no later than the date the amount would have been value dated had the transaction been correctly executed. The obligation in Sentence 1 also applies if the Customer initiated a credit transfer via a payment initiation service provider. This shall not apply where the Bank proves that the payee's payment service provider received the amount of the payment transaction in good time. The obligation in Sentence 1 shall not apply to Customers who are no consumers. (4) If a credit transfer was not executed or not executed correctly, the Bank shall, at the Customer's request, reconstruct the processing of the payment and inform the Customer of the result thereof.

2.3.3 Compensation for breach of duty

(1) If an authorised credit transfer is not executed, not executed correctly or executed late or if a credit transfer is unauthorised, the Customer may request the Bank to provide compensation for any loss or damage not already covered by Sections 2.3.1 and 2.3.2. This shall not apply if the Bank is not responsible for the neglect of duty. The Bank shall be liable in this connection for any fault on the part of an intermediary institution to the same extent as for any fault on its own part, unless the main cause of the loss or damage lies with an intermediary institution specified by the Customer. If the Customer has contributed to the occurrence of any loss or damage through culpable conduct, the principles of contributory negligence shall determine the extent to which the Bank and the Customer must bear the loss or damage.

(2) Liability under Paragraph 1 shall be limited to € 12,500. This limitation on liability shall not apply to

- unauthorised credit transfers
- cases of deliberate intent or gross negligence by the Bank
- risks which the Bank has assumed on an exceptional basis and,
- if the Customer is a consumer, loss of interest.

2.3.4 Entitlements by Customers who are not Consumers

By way of derogation from the entitlements under Section 2.3.2 and under Section 2.3.3, Customers who are not consumers shall only have a claim for compensation – besides any claims for restitution under Sections 667 and 812 ff. of the German Civil Code – for a non-executed or incorrectly executed authorised credit transfer or for late execution of authorised credit transfers or an unauthorised credit transfer in accordance with the following rules:

- The Bank shall be liable for any fault on its own part. If the Customer has contributed to the occurrence of any loss or damage through culpable conduct, the principles of contributory negligence shall determine the extent to which the Bank and the Customer must bear the loss or damage.
- The Bank shall not be liable for any fault on the part of intermediary institutions chosen by it. In such cases, the Bank's liability shall be limited to the careful selection and instruction of the first intermediary institution (order passed on to a third party).
- The amount of the Customer's claim for compensation shall be limited to the amount of the credit transfer, plus the charges and interest levied by the Bank. Where claims for consequential loss or damage are asserted, such claims shall be limited to a maximum of € 12,500 per credit transfer. These limitations on liability shall not apply to deliberate intent or gross negligence by the Bank or to risks which the Bank has assumed on an exceptional basis and to non-authorised credit transfers.

2.3.5 Preclusion of Liability and Objection

(1) Any liability by the Bank under Sections 2.3.2 – 2.3.4 shall be precluded in the following cases:

- if the Bank proves to the Customer that the full amount of the credit transfer was received by the payee's payment service provider in due time or
- if the credit transfer was executed in conformity with the incorrect unique identifier of the payee provided by the Customer (see Section 1.2). In this case, the Customer may, however, request the Bank to make reasonable efforts to recover the amount of the credit transfer. Where it is not possible to recover the amount of the credit transfer, the Bank shall provide to the Customer, upon written request, all information available to the Bank and relevant to the Customer in order for the Customer to file a legal claim to recover the funds. For the Bank's actions as mentioned in Sentence 2 and 3 of this Subparagraph, the Bank shall levy the charge set out in the "List of Prices and Services".

(2) Any claims by the Customer under Sections 2.3.1 – 2.3.4 and any objections by the Customer against the Bank as a result of non-execution or incorrect execution of credit transfers or as a result of unauthorised credit transfers shall be precluded if the Customer fails to inform the Bank thereof within a period of 13 months at the latest after being debited for an unauthorised or incorrectly executed credit transfer. This period shall start to run only once the Bank has informed the Customer about the debit entry for the credit transfer through the agreed account information channel no later than one month after the debit entry was made; otherwise the date on which the Customer is informed shall determine when the period commences. Customers may assert claims for compensation under Section 2.3.3 also after expiry of the period referred to in Sentence 1 if they

were prevented, through no fault of their own, from adhering to this period. Sentences 1 and 3 equally apply if the Customer initiated the credit transfer via a payment initiation service provider.

(3) Any claims by the Customer shall be precluded if the circumstances substantiating a claim

- are based upon an exceptional and unforeseeable event on which the Bank has no influence and whose consequences could not have been avoided even by exercising due diligence or
- were brought about by the Bank as a result of a statutory obligation.

3. Outgoing SEPA Instant Credit Transfers

3.1 General

Transfer orders can also be issued in the form of a SEPA Instant Credit Transfer, provided however that the payment service provider of the payee participates in the SEPA Instant Credit Transfer Rulebook. Instant Payment Transfers are possible (exclusively) in euros in the SEPA area in accordance with the SEPA Instant Credit Transfer Rulebook (SCT Inst) applicable from time to time as approved by the EPC (European Payment Council).

The SEPA Instant Credit Transfer feature has to be activated by the Client in the N26 App in accordance with the means made available from time to time by the Bank.

3.2 Transfer Order

In amendment to Section 1.4, SEPA Instant Credit Transfers can be issued electronically at any time (including Saturday / Sunday / public holidays, and 24 hours a day) and are carried out immediately within the period provided for by the SEPA Instant Credit Transfer Rulebook (up to 20 seconds), provided however that the payment service provider of the payee can be reached for this type of transfer, the requirements for an execution of the transfer order are met, there is no refusal of execution and without prejudice to any suspension, in particular for reasons of security or maintenance of the service.

3.3 Refusal of Execution

In addition to general limitations defined in these Terms & Conditions, the Bank can refuse the execution of a SEPA Instant Credit Transfer in case the payment service provider of the payee isn't reachable via SEPA Instant Credit Transfer, if the transaction exceeds the limitations defined in these Terms & Conditions or in any other case in which the transfer would violate legal or regulatory requirements, as well as contractual provisions applicable between the Client and the Bank.

The Customer will be informed electronically without negligent delay about any rejection.

3.4 Limit for SEPA Instant Credit Transfers

The Customer can execute outgoing SEPA Instant Credit Transfers up to an amount of 2,000 EUR per transaction and within the limit of five (5) transactions per day. The Bank reserves the right to implement lower limits by giving communication to the Client with appropriate means.

3.5 Recording of SEPA Instant Credit Transfer Orders and fees

The available balance of the Client's account is deducted immediately after the execution by the amount of the instant SEPA transfer and the respective applicable fees in accordance with the current List of Prices and Services. The recording of the transaction for the purposes of the account balance statement is carried out immediately after execution with the same value date.

4. Credit Transfers within Germany and to Other European Economic Area [3] (EEA) Countries in the Currency of a Non-EEA Country (Third Country Currency [5]) and Credit Transfers to Non-EEA Countries (Third Countries [6])

Credit transfers within Germany and to Other EEA Countries in the Currency of a Non-EEA Country are not included in the primary range of services of N26 Bank. Access to the service "International Transfer" offered by TransferWise Limited ("Wise") may be made available to the Customer via the N26 App or the N26 Online Surface. For this service, our Terms and Conditions "N26 - Wise" and the Terms and Conditions of "Wise" apply exclusively.

[1] International Bank Account Number.

[2] Bank Identifier Code.

[3] The European Economic Area currently comprises Austria, Belgium, Bulgaria, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France (including French Guiana, Guadeloupe, Martinique, Mayotte, Réunion), Germany, Greece, Hungary, Iceland, Ireland, Italy, Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Netherlands, Norway, Poland, Portugal, Romania, Slovak Republic, Slovenia, Spain, Sweden and the United Kingdom of Great Britain and Northern Ireland.

[4] EEA currencies at present: Bulgarian lew, Croatian kuna, Czech krona, Danish krone, Estonian kroon, euro, Hungarian forint, Icelandic króna, Latvian lats, Lithuanian litas, Norwegian krone, Polish zloty, pound sterling, Romanian leu, Swedish krona, Swiss franc.

[5] E.g. US dollar.

[6] Third countries are all non-EEA countries (for current EEA countries, see footnote 3).